

SLC Agrícola

Challenges All Over the Place; Introducing YE2026 TP of R\$23.00; Reiterating Neutral

Neutral

Current Price R\$17.99

Target Price R\$23.00

BBG SLCE3 BZ

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Introducing YE2026 TP of R\$23.00 and reiterating our Neutral rating

We are introducing our YE2026 target price of R\$23.00, replacing our YE2025 target price of R\$21.00, and reiterating our Neutral rating. We base our more cautious view on: (i) a strong 1H25 capex cycle that limits the company's 2025 and 2026 cash generation; and (ii) cost headwinds for the 2025-26 crop, due to a pickup in fertilizers prices. We are also incorporating 2025 land appraisals, updated assumptions for 2024-25 crop yields and updated hedging positions.

We are lowering our 2026E adjusted EBITDA by 5%

Our revised 2026E adjusted EBITDA of R\$2.4bn (after leasing, or R\$3.0bn pre-leasing) implies increased agricultural costs of ~9% YoY, driven by fertilizers (BRL terms). SLC already secured 57% of its needs for the 2025-26 crop, as per the May's guidance, but nitrogen, phosphate and potash (NPK) prices have increased ~10% in USD terms since then.

SLC reported 7% YoY increase in its landbank value

We are also incorporating the recent 7% increase in SLC's landbank, released earlier this month. SLC's current market cap of R\$7.9bn implies a land valuation of R\$9.1bn, assuming net economic value generated from leased areas of R\$4.1bn. This suggests that SLC is trading at a 32% discount to its own landbank, just ahead of our 23% fair discount estimate.

A slower hedging pace for soybean is positive, in our view

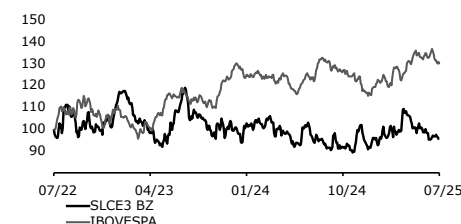
SLC's soybean hedges for 2025-26 crop are running ~7p.p. slower vs. the same period of last year, as we believe the company is bullish on better prices ahead. On the flip side, cotton hedges are advancing well for the 2025-26 crop, reaching 25% of the crop total and accelerating the pace back to the historical average for the current period of the year.

Smaller U.S. soybean planted area still a risk for prices

We expect biofuel policies in the U.S. and Brazil to boost soybean demand. At the same time, the U.S. planted area shrank in 2025 to favor corn, creating risks for prices if climate conditions deteriorated before November.

Company Data, July 25, 2025 (closing price)

	SLCE3 BZ	(R\$ mn)	2023A	2024A	2025E	2026E
Bloomberg code	SLCE3 BZ					
Current Price	R\$17.99					
Target Price (YE 2026)	R\$23.00					
Price Perf Last 12 Mth (Absolute)	(1.37)%					
52 Week Range (R\$)	16.68 - 21.00					
Market Cap (R\$ mn)	7,913					
Free Float (%)	0.4					
3-Mth Avg daily vol (R\$ mn)	40					
Outst shares (mn)	440					
(R\$)	2023A	2024A	2025E	2026E		
Adj EPS	4.28	2.43	2.01	2.07		
BVPS	25.85	20.97	9.97	11.00		
Revenues	7,231	6,916	7,676	8,698		
EBITDA	2,710	2,037	2,741	3,076		
EBIT	1,936	1,513	2,096	2,266		
Net Profit	896	509	884	911		
FCFE	(281)	701	(1,370)	(41)		
Net Debt	2,779	3,617	5,331	6,060		
P/E (x)	4.6	7.4	8.9	8.7		
EV/EBITDA (x)	2.5	3.6	4.8	4.5		
FCFE Yield (%)	(6.8)	18.6	(17.3)	(0.5)		
Div Yield (%)	15.3	11.2	4.4	5.6		
Net Debt/EBITDA (x)	1.0	1.8	1.9	2.0		

Relative Performance (R\$)


Source: FactSet.

Sources: FactSet, Company Data and Santander estimates.

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Table 1. Key Company Data

	R\$ mn			US\$		
	2024A	2025E	2026E	2024A	2025E	2026E
P&L Account						
Revenues	6,916	7,676	8,698	1,255	1,292	1,507
EBITDA	2,037	2,741	3,076	370	461	533
EBITDA YoY Change (%)	(24.8)	34.6	12.2	(31.5)	24.8	15.5
EBITDA as % of Revenue	29.4	35.7	35.4	29.4	35.7	35.4
EBIT	1,513	2,096	2,266	275	353	393
Net Financial Result	(999)	(1,053)	(1,190)	(181)	(177)	(206)
Associates	0	0	0	0	0	0
Taxes	(33)	(128)	(130)	(6)	(22)	(23)
Minorities	28	(31)	(35)	5	(5)	(6)
Net Profit	509	884	911	92	149	158
Adj Net Profit	509	884	911	92	149	158
YoY Change (%)	(43.2)	73.6	3.0	(48.2)	61.0	6.1
as % of Revenues	7.4	11.5	10.5	7.4	11.5	10.5
Cash Flow						
EBITDA	2,037	2,741	3,076	370	461	533
Lease Payments	(536)	(585)	(715)	(97)	(98)	(124)
Changes in Wkg. Capital	999	(251)	(187)	181	(42)	(32)
Capital Expenditures	(1,100)	(2,362)	(1,439)	(200)	(398)	(249)
Cash Financials	(999)	(1,053)	(1,190)	(181)	(177)	(206)
Cash Taxes	(32)	(128)	(130)	(6)	(22)	(23)
Other Cash Items	333	269	545	61	45	94
Free Cash Flow to Equity	701	(1,370)	(41)	127	(231)	(7)
Other Invest./(Divest.)	0	0	0	0	0	0
Dividends	424	347	442	77	58	77
Capital Increases/Other	10	0	0	2	0	0
Change in Net Fin. Debt	775	1,200	1,200	141	202	208
Balance Sheet						
Cash and Equivalents	1,980	1,466	1,937	320	257	332
Current Assets	6,411	6,396	7,054	1,037	1,122	1,208
Goodwill	122	122	122	20	21	21
Non-Curr Assets (ex g'will)	9,062	11,295	12,568	1,466	1,982	2,152
Total Assets	17,574	19,278	21,681	2,844	3,382	3,713
Current Liabilities	6,146	6,020	6,527	994	1,056	1,118
Non-Current Liabilities	7,324	8,735	10,141	1,185	1,532	1,736
Minorities	107	138	172	17	24	30
Shareholders' Equity	3,998	4,386	4,841	647	769	829
Total Liabilities & Equity	17,574	19,278	21,681	2,844	3,382	3,713
Net Financial Debt	3,617	5,331	6,060	585	935	1,038

Source: Company Data and Santander estimates.

Investment Case

We see a more challenging dynamic ahead, given (i) a strong capex cycle SLC passed through in 1H25 and thus limiting its cash flow generation for 2025 and 2026, in addition to (ii) the recent rally in fertilizers prices, while the company has yet to secure ~40% of its fertilizers needs for 2025-26 crop. On the flip side, we see a rebound in yields and a better outlook for soybean prices ahead. Moreover, we expect SLC to capture 45% of the economic value of the land bank of the leased assets, while the company is currently trading at a ~30% discount to its owned land bank.

Key Value Drivers

SLC has outperformed Brazil's average productivity yields in 70% of its harvests since 2010. Moreover, we expect SLC to deliver a 7% return on its complete land bank (including owned and leased area), vs. its leasing cost of 3.2%, implying that the company has been able to capture ~30% of the value of leased land appraisal. As such, growing leased area could move the discount even higher, creating a positive balance of risks.

Investment Risks

Downside Risks: (i) high fertilizers prices for longer, (ii) inability to deliver the expected growth in leased areas, (iii) re-valuation of leasing costs, (iv) crop losses; (v) a bounce back of crop input prices. Upside Risks: (i) higher demand and demand for soft commodities driven by biofuels policies in Brazil and the U.S., (ii) a weaker BRL.

Catalysts

(i) Greater planted areas, (ii) growing yields, (iii) re-evaluation of SLC's landbank, (iv) higher commodities prices (corn, soybean, cotton), (v) U.S. economic growth and additional apparel demand in the country, (vi) a weaker BRL.

Company Description

SLC Agrícola is one of the world's largest grain and fiber producers, focused on the production of cotton, soybeans, and corn. It also owns the SLC Sementes brand, which produces and sells soybean and cotton seeds. The company owns 22 production sites in 7 Brazilian states, totaling 671,946 hectares (2021-22 crop). SLC's business model is based on a modern production system, with large-scale, standardized production units, high technology, strict control of costs, and social and environmental responsibility.

Changes to Our Estimates:

We are rolling our target price to YE2026, while incorporating the following:

1. Updated land appraisal;
2. Updated yields, FX/commodities hedges and areas;
3. Recent acquisitions;
4. Updated assumptions for commodity prices and macro estimates;
5. Updated assumptions for 2025-26 agricultural costs.

Figure 1 - SLC: 2025-2027E Earnings Estimates (R\$m)

BRL	2025E			2026E			2027E		
	New	Previous	Δ%	New	Previous	Δ%	New	Previous	Δ%
Net Revenue	7,676	7,485	3%	8,698	8,722	0%	8,844	9,243	-4%
Gross Profit	3,018	2,827	7%	3,316	3,445	-3.8%	3,194	3,498	-9%
Gross Margin	39.3%	37.8%	2 p.p	38.1%	39.5%	-1 p.p	36.1%	37.8%	-2 p.p
EBITDA after Leasing	2,156	1,986	9%	2,360	2,485	-5%	2,216	2,446	-9%
EBITDA Margin	28.1%	26.5%	2 p.p	27.1%	28.5%	-1 p.p	25.1%	26.5%	-1 p.p
Net Income	884	873	1%	911	948	-4%	774	842	-8%

Source: Santander Estimates

Santander vs. consensus

Figure 2 - SLC: 2025-2027E Earnings Estimates (R\$m)

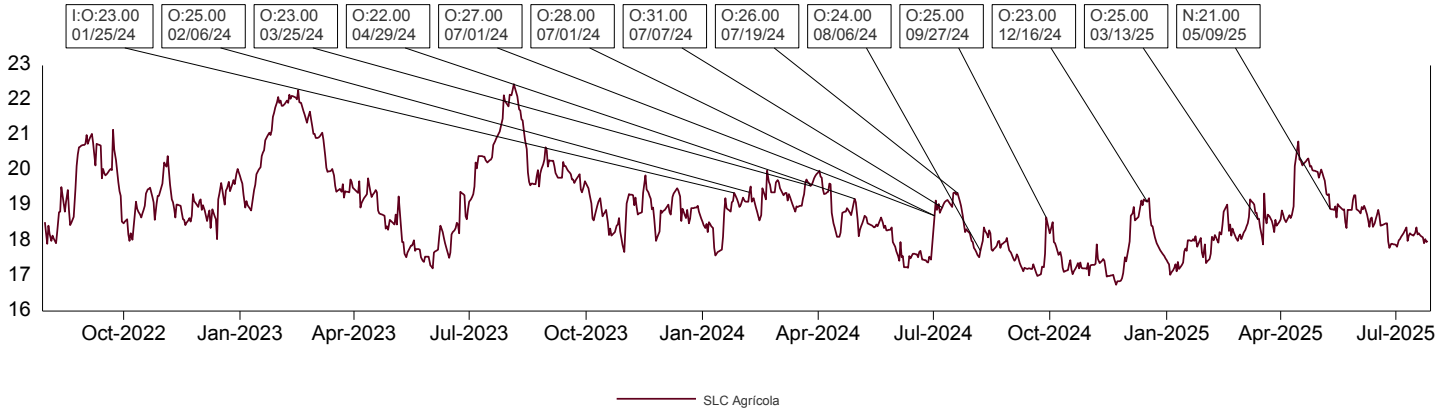
Consolidated	2025E			2026E			2027E		
	Santander	Consensus	Δ%	Santander	Consensus	Δ%	Santander	Consensus	Δ%
Net Revenue	7,676	7,859	-2%	8,698	8,627	1%	8,844	8,871	0%
Gross Profit	3,018	2,956	2%	3,316	3,034	9%	3,194	3,155	1%
Gross Margin	39%	38%	2 p.p.	38%	35%	3 p.p.	36%	36%	1 p.p.
Adj. EBITDA	2,741	2,853	-4%	3,076	3,071	0%	3,024	3,213	-6%
Adj. EBITDA Margin	36%	36%	-1 p.p.	35%	36%	0 p.p.	34%	36%	-2 p.p.
Net Income	884	930	-5%	911	854	7%	774	939	-18%

Source: Santander estimates, VisibleAlpha consensus

Valuation and Risks

Our YE2026 target price is 50/50 blended between (i) an 4-year DCF-based valuation, and (ii) fair land value. Our DCF analysis considers: (i) ke of 18.2% and (ii) long-term growth rate of 5%. Our fair value of the land considers a post-tax value of R\$10.3 billion, with a leasing yield of 6.8% and leasing cost of R\$643 million. Downside Risks: (i) a slowdown in cotton demand from Asia and deceleration of the apparel consumption in the U.S., (ii) inability to deliver the expected growth in leased areas, (iii) re-valuation of leasing costs, (iv) additional crop losses and (v) a bounce back of crop input prices. Upside Risks: (i) higher demand and prices of soft commodities from Brazil due to trade war, (ii) more depreciated BRL.

SLC Agrícola - Three-Year Stock Performance (R\$)



Sources: FactSet and Santander.

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		Covered with This Rating	Provided with Investment Banking Services in the Past 12 months
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Neutral	Expected to perform within a range of 0% to 10% above the local market benchmark	31.28%	46.48%
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